

The Prop 19 Analysis Pack

What California's Proposition 19 means for your move-up clients, your 55+ clients, and your own family — with the worked examples nobody shows you. 2026 edition.

Proposition 19 (effective February 16, 2021) rewired two of the most valuable property-tax rules in California. It gave homeowners 55 and older a powerful new portability benefit — and it quietly dismantled most of the parent-child inheritance exclusion that families had relied on since 1986. Most Californians still don't understand either change. The agent who does becomes the most valuable person in the conversation.

Part 1 — The 55+ / Disabled / Disaster Base-Year Transfer

The rule

Homeowners who are 55+, severely disabled, or victims of a wildfire/natural disaster can sell their primary residence and transfer its low Prop 13 taxable value to a replacement primary residence:

- **Anywhere in California** — the old county-reciprocity maze is gone.
- **Up to three times** (no limit for disaster victims).
- **To a MORE expensive home** — the old rules required equal-or-lesser price. Now the difference is simply added to the transferred base.
- Within **two years** of the sale (file claim form BOE-19-B with the county assessor).

Worked example — trading up

Marie, 62, owns a Santa Cruz home she bought in 1994. Its factored base-year (taxable) value is \$150,000, so her property tax is roughly \$1,650/yr. She sells for \$1,500,000 and buys a \$1,800,000 replacement home.

Step	Amount
Old taxable value (transfers with her)	\$150,000
Replacement price minus sale price (\$1.8M – \$1.5M)	\$300,000
New taxable value	\$450,000
New annual tax (~1.1%)	≈ \$4,950
Tax if she had NO Prop 19 benefit (1.1% of \$1.8M)	≈ \$19,800
Annual savings	≈ \$14,850

If Marie had bought for \$1,400,000 (equal or lesser value), her taxable value would stay exactly \$150,000 — the full benefit travels with her.

Part 2 — Inheriting Property After Prop 19

The rule that changed everything

Before Prop 19, parents could pass a primary residence of ANY value plus \$1M of assessed value in other property (rentals, vacation homes, commercial) to children with no reassessment. That is gone. Today the parent-child exclusion survives only if BOTH are true:

- The property was the parent's **primary residence**, and
- The child makes it **their own primary residence within one year** of transfer (and files the homeowner's exemption).

Even then, the exclusion is capped: the child keeps the parent's taxable value only up to that value **plus an inflation-adjusted allowance — \$1,044,586 for transfers between Feb 16, 2025 and Feb 15, 2027**. Market value above the cap is added to the new taxable value. Everything else — rentals, second homes, commercial property — is fully reassessed to market value at transfer.

Worked example A — family home, under the cap

Parent's home: factored base-year value \$200,000, market value at death \$1,100,000. Cap = \$200,000 + \$1,044,586 = \$1,244,586. Market value is below the cap, so if the child moves in within a year, the taxable value stays \$200,000 (~\$2,200/yr).

Worked example B — family home, over the cap

Step	Amount
Parent's factored base-year value	\$200,000
Market value at transfer	\$1,600,000
Exclusion cap (\$200,000 + \$1,044,586)	\$1,244,586
Excess over cap (\$1.6M – \$1,244,586)	\$355,414
Child's new taxable value (\$200,000 + \$355,414)	\$555,414
New annual tax (~1.1%) — still far below full reassessment	≈ \$6,110 vs ≈ \$17,600

Worked example C — the inherited rental (the painful one)

Same parent also leaves a duplex: base-year value \$180,000, market value \$1,500,000. There is no exclusion for income property. It is reassessed to \$1,500,000 — property tax jumps from ~\$1,980/yr to ~\$16,500/yr, an increase of over \$14,500 every year. For many heirs this single line item decides whether the family keeps or sells the building.

The one-year clock is unforgiving: miss the move-in or the homeowner's-exemption filing and the exclusion is lost. File the claim (BOE-19-P) with the county assessor — generally within three years of transfer for full retroactive benefit.

Part 3 — The Conversations Worth Having

With your 55+ sellers

'Your property tax basis can move with you now — anywhere in the state, even to a more expensive home.' This single sentence unlocks move-up and downsize listings that Prop 13 lock-in has frozen for decades.

With your investor clients

Inherited income property gets reassessed, period. Heirs facing a five-figure tax jump often become motivated sellers — or need a 1031 conversation.

With your own family

If your parents own low-basis California property, the estate plan written before 2021 may be obsolete. Some families explore irrevocable trusts, LLC structures, or lifetime transfers — all with serious tradeoffs (including loss of the step-up in income-tax basis). This is estate-attorney territory; the agent's job is to make sure the conversation happens BEFORE the transfer, not after.

Key forms & deadlines

Situation	Form	Deadline
55+/disabled base transfer	BOE-19-B	2 years from sale of original home
Disaster-victim base transfer	BOE-19-V	2 years from sale
Parent-child exclusion (inheritance)	BOE-19-P	3 years for full benefit; move in + homeowner's exemption within 90 days
Grandparent-grandchild (both parents deceased)	BOE-19-G	Same as parent-child

Sources: California State Board of Equalization Prop 19 Fact Sheet (boe.ca.gov/prop19); county assessor guidance; inflation-adjusted cap per BOE announcement for 2/16/2025–2/15/2027 transfers. Figures assume ~1.1% total tax rate including local bonds; your county varies.